firm continues to do well but they also represent a concentration risk—too much personal wealth tied to a single company, that too in equities.

Besides, there is the tax angle. ESOPs are taxed as perquisite—the difference between market value/fair market value and exercise price—and added to your salary when you exercise them. When the shares are sold, capital gains tax also has to be paid. RSUs are taxed as salary when they vest. Employees of eligible start-ups can defer their first tax outgo by up to 48 months. It is important to plan for the cash needed to pay the tax. For listed Indian shares held for more than 12 months, and foreign shares held for more than 24 months, the tax rate is 12.5%.

"We suggest keeping employer stock to 10–15% of net worth. Selling a fixed portion at each vesting and reinvesting it in the core portfolio stops a portfolio becoming a single-stock bet," advises Singh.

"Treat ESOPs and RSUs as concentrated, illiquid bets on one company. Diversify systematically as tranches vest rather than waiting for a 'right time, right price' event. Never let vested equity sit uncounted and passive when sizing the overall portfolio risk," says Sharma.

SUCCESSION PLANNING

Once the hard yards of earning and managing wealth are done, the critical final step is setting a smart succession plan in motion. Given that asset holdings are likely to be complex, spread across multiple geographies and at times with multiple stakeholders, the approach of women HNIs should be different. Neha Singh of Womoneysta suggests six important tools for succession planning.

A registered will: This is especially important for Hindu women. Under the Hindu Succession Act, if a married woman dies without a will, her property passes first to her children and husband, and then to her husband's heirs, before her own parents.

Nominations: Sebi now allows up to 10 nominees for demat accounts and mutual funds. Remember that a nominee is a custodian, not always the owner, so the nominations and the Will must align.

A private trust: Ideal for complex asset holdings spread domestically and overseas, needs of minor or special-needs children, a second marriage, or shielding family wealth from business risks. Trusts also avoid probate delays.

Term insurance under the Married Women's Property Act: A policy taken under this Act goes to the named spouse or children and is protected from creditors. That is especially valuable for businesswomen who have given personal guarantees.

A business succession plan: Shareholder agreements, a named successor, key-person insurance and clear separation of personal and business assets.

An asset map: A single, updated record of every account, policy, property and digital asset, and an open conversation with the people who will need it. Review it every three years, or after any marriage, divorce, birth, death or business event.

Sharma of Nexedge Capital also emphasises the need for family governance structures apart from the tools mentioned earlier. "A family governance document defining each member's roles, responsibilities, transfer of decision-making powers and restrictions as eventual beneficiaries matters a lot. Underpinning all this, active asset register reviews should periodically verify nominations and ownership structures, enabling mindful consolidation of wealth across asset classes, entities and geographies," she observes. The Wills should be video recorded to avoid ambiguity and legal challenge risks, she suggests. Nothing should be left to chance. BT



"The core portfolio of 70–80% can be diversified MFs, high-quality bonds and gold, allocated against clear goals"

NEHA SINGH
FOUNDER & CEO, WOMONEYSTA



"Generational wealth is ultimately about good ownership structures, succession planning and raising financially aware children"

RADHIKA GUPTA
MD & CEO, EDELWEISS MF